

FINANCE ADMINISTRATION POLICY

1. DEFINITION

ARRC Finance Administration is a system which exists for the purpose of coordinating the implementation of ARRC affairs, policies, constitution and programme of action. This system is responsible for the administrative performance of ARRC in compliance with the national imperatives, policies and procedures of administration. In terms of the PFMA this is part of the organizational governance structures and therefore by implication ARRC policies are national policies. Furthermore, in line with Political Party Funding Act (Act 6 of 2018) provision that political parties are accountable to the public and by implication ARRC is also accountable to the public on resource usage.

2. OBJECTIVES OF THE POLICY

- To develop an effective and efficient system of administration that will respond positively to the needs of ARRC and to compliment service delivery to the community.

3. PRINCIPLES AND VALUES

- To promote and maintain high standards of professionalism while maintaining an efficient and economic use of resources in an administration system that is development orientated, impartial and equitable.
- To foster transparency and promote cooperative governance in ARRC governance issues

- To create an administration system that is accessible and responsive to members and or participant and community needs
- To create an administration system that will provide timely and accurate information relating to all organizational issues

4. SCOPE OF THE POLICY

- The policy will be applicable to ARRC structures as well as to ARRC administration processes.

5. SECTIONS

5.1.Resource Management

- ARRC , like any other organization shall be provided with resources, human and otherwise that will ensure that it performs its functions optimally.
- However, the most critical aspect of ARRC existence, in addition to transparent and accountable use of resources, is its ability to take care of and indeed manage such resources.
- This is so because it costs money and requires certain procedures to procure such resources.
- Also , it is highly essential that ARRC should be charged with the task of managing resources
- Also it is highly essential that highly essential that the ARRC should be charged with the task of managing resources at its disposal in a responsible manner and therefore the policy should facilitate an environment within such a task can be pursued
- In addition NEC , PEC's, REC's , BEC 's and all other members or participants should demonstrate commitment to adhere to and implement this policy in a fair and transparent manner

5.1.1.Nature of ARRC Resources

- It is quite obvious that ARRC needs various resources for existence and sound operation
- The nature of resources is not exhaustive but some basic needs must be clearly spelt out , namely :

1. Human Resources

- This is the most important resource , without which there can be no organization



- As far as the ARRC structures are concerned ,it is obvious that all portfolios should be occupied by relevant officers , right through to substructures or units
- It is these individuals who give meaning to the concept of ARRC and who are in turn expected to implement ARRC programs
- It is also expected therefore that these individuals or ARRC officials should also possess a certain level of skills or ability
- The reason for this is that each person must at least understand what is expected of him or her and perform optimally
- Performance in this case also relates to the implementation of policy
- This explains why a particular amount of organizational skills is essential

2. Material Resources

- These are physical resources such as **offices , furniture and equipment**
- The following are highly essential resources

(a) Office Space

- **ARRC** offices should be reasonable in size and number and should take into account the nature of duties performed by their occupants
- Offices should also reflect that ARRC is an official organization and as such should reflect its image
- It is in these offices that the bulk of work is to performed
- Other necessary logistical infrastructure for use by ARRC is the **Seminar / Board rooms** and conference facilities
- It is ideal that ARRC at all levels should have at least one **permanent board room**

(b) Office Furniture

- The most important furniture items consist of chairs , tables / desks , filing cabinets and cupboards
- All these should be sufficient to cater for organization's needs and the nature of the work done
- All ARRC substructures should be provided with adequate office furniture to cater for their specific needs



(c) Media and communication instruments

- Like in any other organization , NEC , PEC , REC , BEC 's need to communicate among each other and with a lot of other persons and organizations
- In order to facilitate this , ARRC offices should be equipped with :

(a) Telephone Lines

- Each telephone line should have a pin number for purposes of ensuring that it is used for official purposes only
- In addition each NEC , PEC ,etc should have a personal pin number for use in organizational telephone
- Telecommunication should furnish the organization with statements that reflect telephone usage every month end
- Such statements should reflect every call made from each line and the person who used the line at that point in time as well as the cost per call
- A record of all calls should be kept and should some call be personal , such members should be liable for the cost per call made

(b) Fax lines and machines

- Each ARRC office will be provided with a fax machine and line
- The machine will keep a record of monthly usage of every fax line and in line with the above case , should be furnished with monthly statements that reflect usage and cost per call for the months

(c) Computer software programme

- ARRC offices should be provided with software programme such as internet , and updated word processing programme

(d) Cellular phones for NEC members

- The NEC must from time to time determine which NEC members or office bearers need to be provided with cell phones
- The necessary mechanisms of regulating usage , e.g. buying airtime , or limited calls facility should be considered on a given point in time

(e) Computer handwork

- All offices should be equipped with up to date computers



- Both computer software and hardware should be in keeping with modern developments and be updatable to accommodate new programs and trends

(f) Finances

- ARRC budget should be based on the actual and probable activities of ARRC
- It should take into account the nature and size of ARRC structures
- When allocating funds, the NEC must take into consideration the validity of the projects undertaken and whether they are in line **with the vision and mission** of the organization
- Provinces, Regions & Branch fundraising should be supported by relevant portfolios
- Fund usage should be at all times be informed by the following principles:
 - All expenditures aimed at the benefit of the community
 - Financial requisitions are based on the approved program of action (P.O.A) actual and foreseeable (that is in line with the scope and mandate)
 - There is transparency and satisfactory accounting with regard to all transactions (ie. necessary supporting documents, including invitations where applicable and receipts are submitted to relevant offices

(f) Transport and Other Logistics

- Ideally ARRC should have its own transport in the form of sedans and minibuses
- However, ARRC should follow the normal procedure for using the organization transport

(g) Resource Allocation

- Resources of ARRC shall be allocated for purposes of realizing the program of action (P.O.A)
- **For this reason ARRC shall develop a program of action and a year plan at the beginning of its term of office and this will be the basis for funding**
- The budget should also make room for unforeseen expenses and activities
- The following structural hierarchy of ARRC determines how resources should be allocated :

1. NEC First Meeting of the Year

- This body determines broadly the nature of resources required the structures of ARRC and how they should be distributed (i.e. NEC, Provinces, etc and areas to be funded)



- The NEC decides on the program of action (P.O.A) portfolio funding, logistics for Operational costs
- The NEC President , Secretary & Administrator and Finance Officer acts as guardians to ARRC and shall sign all requisitions debited against the budget of ARRC
- Any requisition debited against ARRC Budget without the signatures of any two of the three (3) portfolios can be contested by the NEC

2. Usage of Resources

- All ARRC resources should be harnessed and used in a manner that maximises their utility
- Finances should be used cost effectively and accountably, and furniture and equipment should be as best as possible be preserved in a good working state
- The following guidelines shall be observed and upheld at all relevant times when ARRC resources are used:
 - o **Offices :**
 - All offices shall be used only for official ARRC business
 - They shall be kept clean and in a manner that takes into account a working and neighbourly environment (e.g. there shall not be excessive noise in the offices
 - Offices shall be kept locked at all times when they are not occupied
 - Nobody who is not a registered of member of ARRC should , at any time be left alone in ARRC offices
 - o **Computers :**
 - Only ARRC officials or designated members and are allowed to use or operate computers
 - Members of ARRC should be equipped with basic computer skills
 - Each ARRC official must have a personal user –code or password to prevent damage and unauthorized use
 - o **Facsimile :**
 - The fax shall be used only for official business of ARRC
 - All fax report slips shall be filed for accounting purposes
 - The fax line shall not be used to make telephone calls
 - o **Cell Phones :**
 - All cell phones issued to office bearers , should at all times be in good working condition



- Officials shall not exchange cell phones under any circumstances
 - An official shall not borrow his or her cell phone to any other person
 - At the end of his or her term of office , an official shall return the organization cell phone issued to him or her together with its accessories in working condition
 - In the event of damage or loss of a cell phone in circumstances where the official is at fault whether intentionally or negligently , such an official shall be liable for the total repair or replacement costs of such a cell phone
- o **Financial Advances :**
- For every amount of money advanced to an official , member and or participant for any purpose , such an official , member and or participant shall return to the Finance officer an authentic and verifiable receipt or invoice , submit this to the administration office for filing and disposal
 - In the event of a member official , member and or participant ,not being able to submit proof expected , he or she should in writing give a satisfactory account of how he or she used the money
 - If an official , member and or participant cannot give satisfactorily account for how he or she used the money advanced to him or her , he /she shall be liable to repay the entire amount , in addition to **applicable disciplinary procedures**

3. Finance Procedure and Management

3.1.Budgeting

- The process of drafting a budget for ARRC should be an inclusive one , beginning at Department or Province of ARRC , wherein representative representatives of ARRC formation
- After individual budgets of divisions or unites are drafted, they shall along with that of the Board be consolidated into a organizational budget of ARRC by the finance collective of ARRC
- The budget of ARRC shall be annually prepared by the Finance Collective lead by the Finance officer
- ARRC budget projections shall be made in concurrence with the year rolling system and the budget of the oncoming financial year shall be presented on the first quarter of the presiding year

3.2.The Process of Drafting the Budget Shall be as Follows:



- The Finance Officer shall at a given time advise the Departmental Heads to commence a process of drafting budget projections
- The Finance officer shall also notify the Departmental Heads of the format and Guidelines
- The finance officer shall also notify portfolio holders of the date and time of submissions of all budget projections to be considered by ARRC finance collective
- ARRC budget projections (NEC , Provinces , Regions & Branches shall be forwarded to the finance collective for consideration when drafting the final consolidated budget and its demarcation
- **All budget projections shall be accompanied by a program of action (P.O.A)**
- The Finance Officer shall convene a finance collective budget meeting to consolidate a budget and forward such a budget to the NEC for approval
- After approval of the budget, the Finance officer shall inform the provinces , regions and branches of the approved budget and how it can be accessed

4. BUDGET DEMARCATIONS

- Demarcation of budget shall be made by the finance collective when drafting the final Budget
- **Demarcation to any structure of ARRC shall be done only if a program of action (P.O.A) such structure is submitted**
- Demarcation shall take the program of action into consideration, but shall not be dictated by it - 60% of the overall budget shall be allocated to the Pillars of ARRC
- 40 % of the overall budget shall be allocated to the NEC

5. ACTIVITIES THAT SHALL BE FUNDED BY NEC

- **ARRC funds shall be utilized for activities provided on the organization Program of Action (P.O.A)**
- Such program should indicate the extent to which the majority of our community Members, and or participants will benefit directly and indirectly
- The budget should also provide for contingency funds that will cover items not foreseen During the budget drafting process
- The President should be the only one to authorize usage of the contingency funds
- The budget shall also cater for the seat of the NEC

6. FUNDING FOR ARRC SUBSTRUCTURES (DIVISIONS / UNITS)

- All substructures (divisions or Units) of ARRC should be incorporated into a



Consolidated document and therefore be funded on that level.

- All substructure (divisions or units) must be structured properly for accountability and be Recognized by the Departmental Heads concerned before they can be funded.
- The substructures shall follow the normal procedure for requesting resources

7. SUBSIDIES

- Any activity not funded by the budget but relevant to ARRC beneficiaries or targeted groups or areas shall be subsidized by the NEC with an amount not exceeding 50% of the total cost of such an activity at the direction of the the president in consultation with NEC

8. REQUISITIONS

8.1. PROCEDURES FOR REQUESTING FUNDING AND RESOURCES

- Administration procedures processes should ensure accountability and efficiency at all times
- ARRC should design and develop its accountability protocols in line with the constitution
- In cases where procedures seem to inhibit progress, the officers concerned should engage in negotiations with the relevant authorities with a view to resolving problems
- For purposes of intern control, it is important that the NEC standardized Procedures which will be used by the whole system

8.2. The Principles that underlie Requisitions Include:

- All requisitions carry the signatures of the Provincial Finance Heads (before being processed by the NEC Administration office
- Such requisitions must be submitted seven days in advance to the NEC office and after approval immediately send the requisition to the Secretary and Administrator For processing
- All requisitions shall bear the signature of the President , Finance Officer and Secretary and Administrator (any two (2) of the three)
- Requisitions that do not satisfy the basic conditions shall not be approved

8.3. Stationary Requisitions:

- Departments concerned should write memo (using memo form) which will be provided to request stationary
- The Secretary and Administrator will fill in the required stationary in the stationary



request book and seek the signature of the head

8.4. Petty Cash Requisition

- Petty cash shall be requested for an amount not exceeding R 3000, 00
- All divisions, substructures or units shall fill in an application form (to be provided) when requesting cash
- Forms that are incorrectly or incompletely filled cannot be processed
- Whenever possible, the form should be accompanied by documentation that prove the need for the cash
- In cases where such proof does not exist, the relevant official should fill in a disposable form (to be provided) to account on how the money was used (i.e. provide relevant receipts)
- The disposable form should be handed in at the Administration office within five (5) days after cash was collected
- Declaration on receipt of cash be made by the receiver of cash
- Such declaration should serve as a proof of receipt of money by the receiver of cash
- Individual declaration should be made by people who received cash in the event where the money for those people is given to one person
- In the event of Petty Cash, slip should not be required on the basis of the reason that the reason is clear on the requisition, only letter of declaration should be produced

8.5. Transport Requisition

- All structures, substructures, divisions, units should complete application forms (to be provided), requesting transport accompanied by relevant documentation such as invitation to a meeting and or detailed memo indicating reason for using a car , passengers name
- Only designated members and or participant allowed to drive ARRC cars
- Hired cars can only be used when there is no car in ARRC car pool
- The application forms for requesting a car must take to the car part for a stamp that proves that there is no car in ARRC car pool
- The stamped form must then be taken to the travel and accommodation arrangement section of ARRC where a car will be hired
- ARRC designated drivers must ensure that they return cars in good condition back to the car park or car hire at the stipulated time and day



8.6.Request for Payments for Services Rendered to ARRC

- A memorandum requesting **payment** for any service to be rendered shall be accompanied by three(3) quotations from service provider reflecting the total amount required breakdowns if there are any and the nature of a service quantitatively and or qualitatively as well as the names of service providers
- A request for payment of service required by ARRC shall only be considered if our internal service providers are unable to offer such a service or competitively more costly to other service providers

A memorandum requesting payment for a service shall reflect the following:

- Names , portfolios and signature of a person requesting as well as date and the purpose of such a request , a day wherein such payment is expected and the recommended service provider

8.7.Usage of Venues for Accommodation for Meeting of ARRC

- The NEC should try as far as possible to enter into agreements with other institutions with regard to hiring of dormitories / guest houses at a low cost whenever they host meetings that require people to sleep over

8.8.Accounting and Reports

- A official, member and or participant that receives funds from ARRC coffer for any Activity shall submit a report to the Administrator on the said event within seven (7) days after the event has taken place
- A structure, official, member and or participant who receives funds form ARRC shall be responsible for the submission of invoices to the Administration office and also to forward copies of such to the Finance officer
- A person who for whatever reason cannot give account of his or her expenditure as required by this policy shall cease to receive funds from the organization until such time that he or she has settled the expenditure with relevant departments
- The Departmental Heads should on monthly basis give account of the financial status to the Finance Officer
- This statement should also give account of hoe funds acquired from through sponsorship, Fundraising, donations and contributions of any sought
- The finance officer shall on a quarterly basis account to the NEC and shall present audited statements during Fist NEC Meeting of the year



- The Finance officer shall also account to the NEC when such is required by this structure on all expenditures and income of structures and Substructures

8.9. Authority of NEC on Financial Management

- The Board shall have the final **say in between Congresses** on all financial matters of ARRC and shall:
 - o Apply corrective measures in cases where ARRC official , member and or participant does not comply with procedures
 - o Place a moratorium on any expenditure or access to budget if it of the view that such expenditure is not in line with ARRC policy
 - o Hold quarterly meetings to access the usage of resources by all ARRC officials ,members, participants and based on the monthly reports by the officials and shall apply corrective measures in case of deviation
 - o It is compulsory for Departmental Heads to submit reports to the NEC and noncompliance will be interpreted as deviation

9. FINANCIAL RECORDS

- Records of ARRCand its Structures , substructures shall be kept in the Finance Officers office and in the Office of the Secretary & Administrator

Fund-raising, Loans, Sponsorship, Donations and Contract

- It shall be the responsibility of the ARRC Finance Collective to develop fundraising proposals that cover all structures , substructures and or units
- This is in order to avoid duplication of functions
- Any structure , substructure or unit that intends to fund-raise using ARRC name and or resources should receive consent from the NEC
- Funds or resources acquired in the name of lthe ARRC shall be administered in the same manner as the ARRC funds and or resources
- Structures, Substructures or units can fund-raise and deposit to the organization account, so that accountability can be easily monitored by the NEC

10.BANK ACCOUNT

- There shall be one (1) central account, no structures, substructures, or unit shall open their accounts without NEC approval.



11.1. The Administration system should be structured in a manner which allows free flow of processes while maintaining responsibility and efficiency

11.1.1. The structure should also respond to the unique nature of ARRC and its related needs

11.1.2. There should be a Central office based in Gauteng which will be responsible for the overall functioning of the administration system

11.1.3. This Office shall be headed by the Secretary & Administrator & support by staff as may be determined by the NEC from time to time

11.1.4. This office should be supported and complemented by offices in areas where ARRC exists

11.1.5. The Provincial offices will serve the immediate needs of members and or participants and assist in the coordination and implementation of programs

11.1.6. The Provincial Administration offices will report to the Secretary & Administrator on Operational matters

Some of the Duties of Secretary & Administrator Will Include:

- Day to day administration (typing , creating and maintaining , filing data base system of ARRC) and responding to queries
- Handle correspondence of ARRC and see to it that officials respond to such correspondence
- Maintain a positive image of ARRC office by ensuring that there is order in office settings
- Daily facilitation of requisitions
- Coordination of ARRC administration office from central to branch
- Coordination of the implementation of ARRC Program of Action (P.O.A)
- Participating in ARRC fora that have a bearing on the Administration of ARRC affairs
- Coordinate Capacity Building , on administration matters
- Create and maintain professional filing and data base system for all ARRC related matters
- Consistently seek ways of improving ARRC administration through research , conferences , and seminars and advise the NEC of trends in this regard



- Act as Liaison of ARRC and establish relations between

11.2 Location

- The Secretariat & Administration office shall be located within the NEC office
- The Secretariat & Administration office should continue to operate under the portfolio of Presidency the NEC for authorization of resource usage

11.3 Operationalization of the Administrative System

- There should be operation mechanisms that are put in place (e.g. requisition forms , office attendance register , duty rooster for office staff , etc)

End.

